45-000.B. Annual Reporting/Child Only (AR/CO) Q&A

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QUESTION 1

What are "held changes"?

A "held change" refers to what happens when a recipient **voluntarily** reports a change that would result in a mid-year decrease of benefits, but due to AR/CO rules, the decrease cannot be made until the beginning of the next annual reporting period.

ACL 13-28

QUESTION 2

Regarding CalFresh, what is meant by "associated with CalWORKs"?

For clarification purposes, the term "associated with CalWORKs AR/CO cases" should be defined as all households in which any member of the CalFresh household is part of a CalWORKs AR/CO case.

NOTE: CalFresh households associated with CalWORKs AR/CO AUs were given Change Reporting status from October 1, 2012 – September 30, 2013. Effective October 1, 2013, these CalFresh households transitioned to Semi-Annual Reporting (SAR), per CPG 44-260.J and 44-270.A.

ACLs 12-25; 13-28

45-000.B.2 AR/CO Assistance Unit (AU) Criteria

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QUESTION 1

An adult applicant is a sponsored non-citizen who is ineligible for CalWORKs because the sponsor is meeting his/her needs. Is this case an AR/CO case?

Yes, the case is AR/CO because there is no eligible adult in the AU, per CPG 44-260.A.

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QUESTION 1

If a recipient misses their redetermination appointment during the redetermination month but continues to reschedule, eventually there will no longer be any interview appointments available in the redetermination month. Can CalWORKs truly be discontinued in this instance?

No, CalWORKs will **not** be discontinued if the Family Resource Center (FRC) does not have any available appointments to reschedule the interview during the redetermination month. **If a recipient requests a make-up appointment prior to the end of the redetermination month, CalWORKs will not be discontinued merely due to lack of operational capacity.**

See CPG 44-260.B for additional information regarding annual redetermination.

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Mid-Year Reports and Report Forms

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QUESTION 1

Is a change in immigration/citizenship status a mandatory report because it falls under "a change in household composition"?

No, a household composition change is defined as someone moving into or out of the home. A change in immigration status is **not** considered a change in household composition and is not a mandatory report.

If a recipient reports a mid-year change in immigration status, it is considered **voluntary** for CalWORKs. Any adverse action to decrease or discontinue CalWORKs (i.e., if a child loses eligibility based on immigration status) will **not** be taken until after the redetermination has been completed.

If the AU reports a change in immigration status that makes someone eligible for CalWORKs, the HSS may increase the grant mid-year. This could include a child becoming eligible, in which case the grant would increase, or an adult becoming eligible, in which case the grant would increase **and** the AU would transition from AR/CO to SAR.

See CPG 44-260.C for voluntary mid-year reports.

ACL 13-28

QUESTION 2

If a child begins receiving Supplemental Security Income (SSI), is he/she discontinued from the AU at the end of AR period or immediately (i.e., mid-year with timely notice)?

A child being awarded SSI benefits is **not** a mandatory report under AR/CO; therefore, the grant will not be decreased until the beginning of the following AR/CO period after the redetermination is completed.

NOTE: The Social Security Administration (SSA) will determine the SSI award amount taking into consideration any CalWORKs grant received by the recipient.

A parent may voluntarily request to discontinue a child from the AU in order for SSA to recalculate the SSI benefit amount; however, without

a parent's voluntary request for discontinuance, the HSS will **not** take mid-year action to discontinue CalWORKs for the SSI child. See CPG 44-260.C for voluntary mid-year reports.

ACL 13-28

QUESTION 3

In a two-parent AR/CO case, are both parents required to sign the Mid-Year Status Report for CalWORKs and CalFresh (AR 3)?

No, the signature of one parent on the AR 3 is sufficient. For AR/CO, the AR 3 is not a required form and recipient may report information via other means, per CPG 44-260.C.

ACL 13-28

QUESTION 4

Can the Food Stamp Household Change Report (DFA 377.5) that is used for CalFresh households be used to report CalWORKs changes?

For CalWORKs, the recipient may utilize any means of making a mid-year report, per CPG 44-260.C, including the AR 3 or DFA 377.5.

NOTE: The DFA 377.5, which has been revised to CF 377.5 CR and CF 377.5 SAR, is not a required form for CalFresh but may be used for reporting changes.

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QUESTION 5

SCENARIO: An AR/CO AU consists of a timed-out mother with one child. She reports that she received an inheritance of $180,000 mid-year in February. Her last redetermination was just completed for January.

Is she property-eligible for the 11 months until her next redetermination?

For CalWORKs, under AR/CO, there is no provision for taking mid-year action due to property/resource changes; therefore, no action will be taken on the case until the next redetermination. See CPG 44-260.C for voluntary mid-year reports.

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45-000.B.5 Budgeting and Income

QUESTION 1

When calculating the Tier 1 IRT, is "the amount of income last

Reporting Threshold (IRT)

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used" referring to the gross income or the net countable income? And if gross income, is the conversion factor applied?

The Tier 1 IRT refers to the **gross** income, including the conversion factor, if appropriate. See CPG 44-260.E.

ACLs 12-25; 13-28

QUESTION 2

For the Tier 1 IRT, does "the amount of income last used" refer to earned income, unearned income, disability income, or any combination thereof?

The AR/CO statute does not specify a type of income; therefore, the HSS will use **all** income (including any combination of different income types) last used to calculate grant.

ACLs 12-25; 13-28

QUESTION 3

In calculating the Tier 2 IRT (the amount likely to render the AU ineligible to CalWORKs), is the AU Maximum Aid Payment (MAP) or the Family MAP used?

The HSS will use the Family MAP. See CPG 44-260.E.

ACLs 12-25; 13-28

QUESTION 4

Does the child support disregard count toward the total monthly income used in the calculation of the Tier 1 IRT?

No, the child support disregard ($50) is **not** counted in the IRT calculation. Per CPG 44-100.F, child support disregard is not considered income.

ACL 13-28

QUESTION 5

In determining the IRT for an AU with self-employment income, is the income before or after deductions used?

Self-employment income **after** deductions will be used regardless if applying the standard 40% deduction or using itemized actual deductions. Per CPG 44-100.I, self-employment deductions are considered business expenses. Subtracting business expenses from gross revenue provides **gross income**.

ACL 13-28

QUESTION 6

If an applicant reasonably anticipates receiving income over the IRT beginning in Month 9 of the AR/CO period, should the HSS decrease/discontinue CalWORKs effective the beginning of Month 9 or the beginning of Month 10?

Provided the applicant reasonably anticipates the income in Month 9 (i.e., actually being paid during Month 9, as opposed to just working the hours and getting paid in Month 10), the HSS will decrease or discontinue CalWORKs effective the beginning of **Month 9**.

The applicant is **not** required to report the income again because it was reported at intake and the income is reasonably anticipated. However, if circumstances change and the reasonably anticipated income is **not** received, the recipient will need to report this change to the HSS in order for the grant to be recalculated.

The fact that the applicant reasonably anticipates the income, as opposed to reporting the income when it is actually received, results in the grant being decreased or discontinued one month earlier. When a recipient reports the income when it is received, if the income is anticipated to continue, the HSS will not decrease or discontinue CalWORKs until the beginning of Month 10 (and there will be **no** overpayment).

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QUESTION 7

Will the Tier 3 IRT (130% of the Federal Poverty Level (FPL)) ever be used?

On rare occasions, **prior to the October 1, 2013 increase of the Earned Income Disregard (EID)**, the Tier 3 IRT was used because the Tier 2 IRT (the amount likely to render the AU ineligible to CalWORKs) is based on earned income, but disability-based unearned income (DBI) had a higher disregard.

EXAMPLE (based on IRT levels for FFY 2012-13): A non-exempt AU of 2 reports they have a total income of $1,175 ($225 in DBI and $950 in earned income). The AU is still eligible to CalWORKs and must be assigned a new IRT.

- The Tier 1 IRT is $2,050 ($875 + 1,175).
- The Tier 2 IRT for a non-exempt AU of 2 is $1,144.
- The Tier 3 IRT is $1,640.

Tier 2 is the lower of the three IRT levels. However, the Tier 2 IRT **cannot** be used for this AU because the current income ($1,175) is already over the Tier 2 IRT level. Between Tier 1 and Tier 3, **Tier 3** is the lower IRT level and will be assigned to this AU.

NOTE: The DBI income allowed a higher EID to be used in the budget determination, which resulted in continuing eligibility to CalWORKs for this AU.

See CPG 44-300.G for current IRT levels.

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QUESTION 8

SCENARIO: An AR/CO AU consists of a mother and her three children. They have no income. Mother reports timely on September 10, 2013 that the unemployed father has returned home. He receives $100/week in Unemployment Insurance Benefits (UIB). Effective October 1, 2013, the father is added to the AU and the AU transitions from AR/CO to SAR.

Will the HSS count his income, even though it is under the IRT, which would potentially decrease the grant?

Changes in household composition are a mandatory report for AR/CO. When an AU reports a household composition change, eligibility must be determined in light of the change, taking all associated eligibility factors into consideration, including the income of a new household member.

In this scenario, the HSS will count the father's income when he is added to the AU, even if it results in a mid-year decrease to the grant. Under AR/CO rules, the HSS may decrease or discontinue CalWORKs mid-year as a result of a mandatory report.

While income under the IRT is **not** a mandatory report, the income is counted because it is associated with the new household member. See CPG 44-260.D for mandatory mid-year reports.

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QUESTION 9

SCENARIO: An AR/CO recipient's current job ends because she will start a higher paying job that is still under the IRT.

Does the HSS stop budgeting for the current job (and issue a supplement, if eligible) and <u>not</u> count the new income as it is not over the IRT?

Yes, the HSS will stop budgeting for the current job and issue a supplement, if eligible. Since the income from the new job is under the IRT, the report is considered **voluntary** and no mid-year action will be taken to decrease the grant. **The HSS must act on each reported mid-year change separately and sequentially.**

In this scenario, the recipient reported **two** changes: That she left one job and that she started a new job. The HSS will take the following

actions once verification of the job termination is received:

Step	Action
1	Recalculate the CalWORKs grant for the current and future months using the terminated income. Issue a supplement for the current month, if eligible.
2	Recalculate the IRT based on the change in income. Issue a new IRT informing notice (AR 2 or AR 2 SAR) to the AU if there is a change in IRT.
3	Note the information regarding the new job as a Held Change for future follow-up at the next redetermination and issue a "No Change" NOA to the AU.

NOTE: If there is a change in IRT, per Step 2 above, and a new AR 2 or AR 2 SAR is issued, the AU is required to **re-report** the income from the new job if it exceeds the new IRT and the HSS will take mid-year action based on the **mandatory** report.

ACL 13-28

QUESTION 10

If an AU voluntarily reports income that is under the established IRT, is the HSS required to give the AU a new IRT?

No, the HSS is **not** required to provide a new IRT for CalWORKs. The IRT **remains the same**, until the AU's income exceeds the IRT or if the HSS is otherwise required to recalculate the grant. **Anytime there is a change in the grant, the HSS must inform the AU of the applicable IRT**.

If the recipient's income exceeds the IRT, and the grant decreases (rather than CalWORKs discontinuing), the HSS will calculate a new grant amount **and** assign a new IRT.

ACL 13-28

QUESTION 11

SCENARIO: An applicant has just lost his job and there is no indication that Unemployment Insurance Benefits (UIB) will be denied. The applicant anticipates receiving UIB but has no verification of this.

Does the HSS count the UIB income?

The HSS **cannot** count the UIB income in the CalWORKs budget. Per CPG 44-260.G, the HSS cannot prospectively budget based on reasonably anticipated income unless the amount of income and the

dates the income will be received are certain. In this scenario, neither the amount nor the dates are known.

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Acting on Multiple Changes

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QUESTION 1

SCENARIO: An AR/CO AU has a redetermination due in April 2014 and is assigned to Cycle 5. On November 5, 2013, the AU reports an increase in income that is under their IRT. On December 5, 2013, the AU reports that the absent father has moved back into the home. He has no income and requests to apply for CalWORKs.

What actions will the HSS take in this scenario?

Regarding the November 5th report of increased income, since the income is under the IRT, no mid-year action will be taken. The HSS will note the information as a Held Change and send a "No Change" NOA to the AU.

Regarding the December 5th report of the change in household composition, the HSS will take mid-year action to add the father to the AU effective January 1, 2014 if eligible. The AU will also transition from AR/CO to SAR effective January 1, 2014.

If there are no other changes or mid-year actions taken, the HSS will budget the increased income effective May 1, 2014 following the completion of the April 2014 redetermination.

The September SAR 7 will be due in October 2014.

ACLs 12-25; 13-28

QUESTION 2

SCENARIO: The same scenario as in Question 1, except the redetermination is due in May 2014 (Cycle 6).

What actions will the HSS take in this scenario?

As in Question 1, the HSS will not take mid-year action regarding the report of increased income under the IRT, but will act to add the father to the AU effective January 1, 2014 if eligible. The AU will transition from AR/CO to SAR effective January 1, 2014.

The HSS will budget the increased income effective June 1, 2014, following the completion of the May 2014 redetermination.

The AU will not have a SAR 7 due until November 2014 for Data Month October 2014.

ACLs 12-25; 13-28

QUESTION 3

SCENARIO: A SAR AU has a redetermination due in March 2014 and is assigned to SAR Cycle 4. On November 5, 2013, the mother reports an increase in income which is over the IRT. In addition, the mother reaches her 48th month of CalWORKs and times-out in November 2013, resulting in the AU transitioning from SAR to AR/CO effective December 1, 2013.

What actions will the HSS take in this scenario?

Mid-period action is required to be taken regarding the increased income since income over the IRT is a mandatory report. CalWORKs may be decreased or discontinued mid-period with timely notice. Once the grant is recalculated and continuing eligibility is established, the HSS will send an IRT informing notice to notify the AU of any changes in IRT.

Since the AU transitions to AR/CO in December 2013, the August SAR 7 that is due in December will **no longer** be required for CalWORKs.

ACLs 12-25; 13-28

QUESTION 4

SCENARIO: The same scenario as in Question 3, except that the increase in income is under the IRT.

What actions will the HSS take in this scenario?

Since the increased income is under the IRT, this will be considered a **voluntary** report and no mid-period action will be taken to decrease or discontinue CalWORKs. The HSS will note the information as a Held Change and will issue a "No Change" NOA to the AU.

Following the AU's transition from SAR to AR/CO effective December 1, 2013, the mother will **not** be required to re-report the income again unless the AU's income exceeds the IRT. The HSS will budget the increased income effective April 1, 2014, following the completion of the March 2014 redetermination.

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QUESTION 5

SCENARIO: A SAR AU has a redetermination due in February 2014 and is assigned to SAR Cycle 3. On August 5, 2013, the mother reports an increase in income on the July SAR 7. In addition, the mother reaches her 48th month of CalWORKs and times-out in August 2013, resulting in the AU transitioning from SAR to AR/CO effective September 1, 2013.

What actions will the HSS take in this scenario?

If the increased income is anticipated to continue at that level, the

income will be used in the budget effective September 1, 2013 because it was reported on the SAR 7 while the AU was in SAR status. The HSS will issue an IRT informing notice to notify the AU of any changes to the IRT.

The grant amount will remain unchanged until the February 2014 redetermination unless there are any other changes or actions taken.

ACLs 12-25; 13-28